Infosys Limited
Comparable Company Analysis

Trading multiples versus TCS, HCLTech, Wipro and Tech Mahindra, based on FY2025 consolidated results and share prices at 28 March 2025

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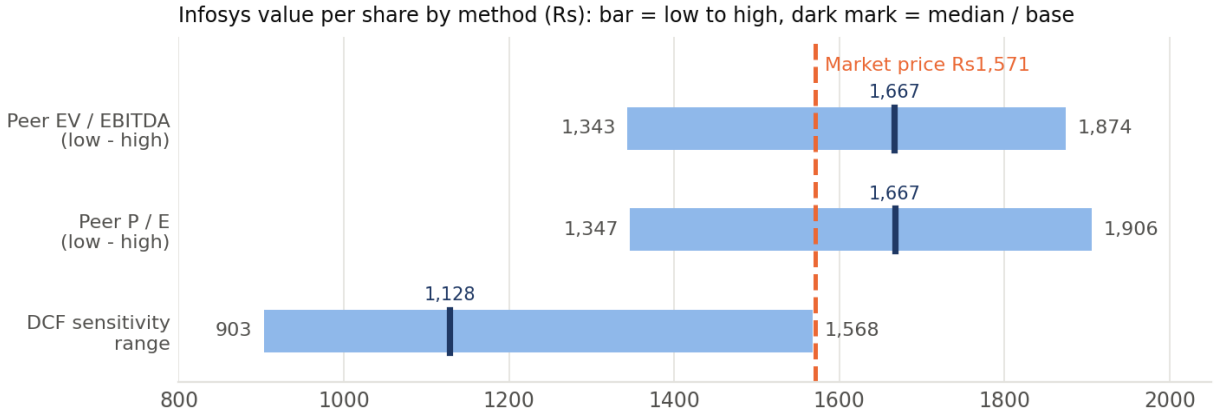
Companion file: Infosys_Comps_Analysis.xlsx | Currency: Indian Rupees (Rs crore)

Summary	
Infosys EV / EBITDA | peer median	15.6x | 16.6x
Infosys P / E | peer median	24.4x | 25.8x
Value per share at peer-median multiples (average)	**Rs 1,667**
Market price, 28-Mar-2025	Rs 1,571
DCF value (base case)	Rs 1,128

Prepared for educational and portfolio purposes; not investment advice.

1. Summary

Infosys is compared with four listed Indian IT services peers. On FY2025 results Infosys trades at **15.6x EV/EBITDA** and **24.4x earnings**, a discount of about 6% to the peer median (16.6x and 25.8x). Applying the peer-median multiples to Infosys gives a value of roughly **Rs 1,667 per share** (EV/EBITDA) and **Rs 1,667** (P/E), about 6% above the market price of Rs 1,571.



Key points

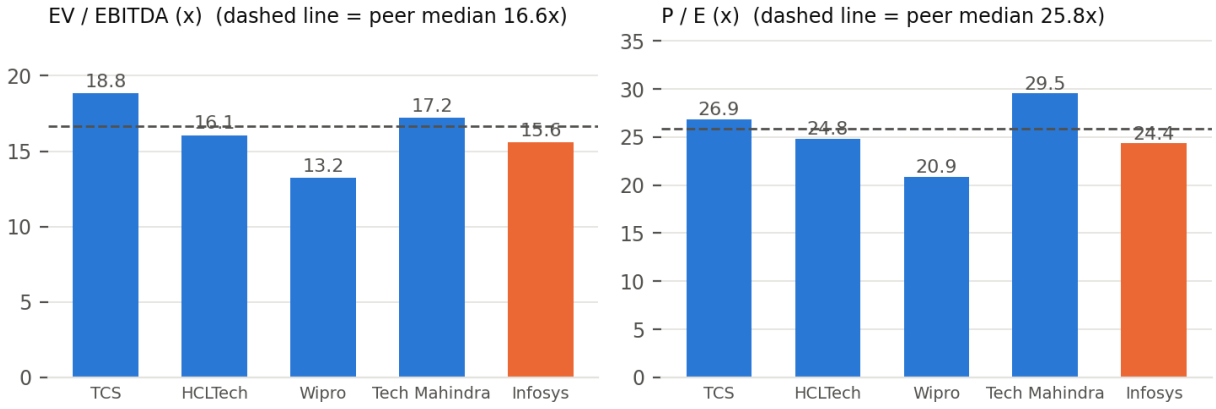
- **Market price is supported by the comps.** It lies inside the peer-implied range (about Rs 1,343 to Rs 1,906) and below the peer-median values.
- **The DCF base case (Rs 1,128) is below the comps range.** The DCF uses a cautious growth path and an 11.7% discount rate; peers are priced by the market at richer multiples. The difference shows how much growth or lower required return the market is paying for.
- **Infosys deserves a similar multiple to peers.** It has the second-highest EBITDA margin after TCS (24.1%), no borrowings, and revenue growth of 6.1%, but profit growth was low (1.9%).
- **Small peer set.** With four peers the median is sensitive to one company; treat the result as a range, not a point estimate.

2. Peer group and trading multiples

The peers are large Indian IT services companies with consolidated Ind AS reporting and a March year-end. Prices are NSE closes on 28 March 2025 (the last trading day of FY2025). All multiples are trailing, on FY2025 results.

Rs crore	Price (Rs)	Market cap	EV	Revenue	EBITDA	EV/Sales	EV/EBITDA	P/E
TCS	3,606.15	1,305,426	1,269,406	255,324	67,407	4.97x	18.8x	26.9x
HCLTech	1,592.50	432,364	409,805	117,055	25,504	3.50x	16.1x	24.8x
Wipro	262.25	274,628	238,055	89,088	18,021	2.67x	13.2x	20.9x
Tech Mahindra	1,418.25	125,487	120,272	52,988	6,991	2.27x	17.2x	29.5x
Peer mean						**3.35x**	**16.3x**	**25.5x**
Peer median						**3.09x**	**16.6x**	**25.8x**
Infosys	**1,570.65**	**651,191**	**611,807**	**162,990**	**39,236**	**3.75x**	**15.6x**	**24.4x**

Enterprise value = market cap + borrowings + lease liabilities + minority interest - cash and investments. EBITDA = revenue less operating costs before depreciation, finance cost, other income and exceptional items.



Observations

- TCS commands the highest EV/EBITDA (18.8x), reflecting the highest margin (26.4%) and return on equity (51%). Wipro is the cheapest (13.2x) with the lowest growth.
- Tech Mahindra's P/E of 29.5x looks high because its earnings are still recovering from a weak FY2024 (profit up 77% in FY2025); its EV/EBITDA is more representative.
- Infosys sits between the extremes on both multiples, at a modest discount to the median.

3. Operating comparison

Multiples should be read against growth, profitability and returns. The table shows what sits behind each company's valuation.

	Revenue growth	Profit growth	EBITDA margin	EBIT margin	Net margin	Return on equity	Net cash / mkt cap	FCF / profit
TCS	6.0%	5.9%	26.4%	24.3%	19.1%	51.2%	2.8%	92%
HCLTech	6.5%	10.8%	21.8%	18.3%	14.9%	25.0%	5.2%	122%
Wipro	-0.7%	19.0%	20.2%	16.9%	14.8%	15.9%	13.4%	117%
Tech Mahindra	1.9%	77.4%	13.2%	9.7%	8.0%	15.5%	4.5%	122%
Peer median	**4.0%**	**14.9%**	**21.0%**	**17.6%**	**14.9%**	**20.5%**	**4.9%**	**119%**
Infosys	**6.1%**	**1.9%**	**24.1%**	**21.1%**	**16.4%**	**27.9%**	**6.1%**	**125%**

FCF = net cash from operations less capex. Net cash = cash and investments less borrowings and lease liabilities. Wipro capex is PPE only.

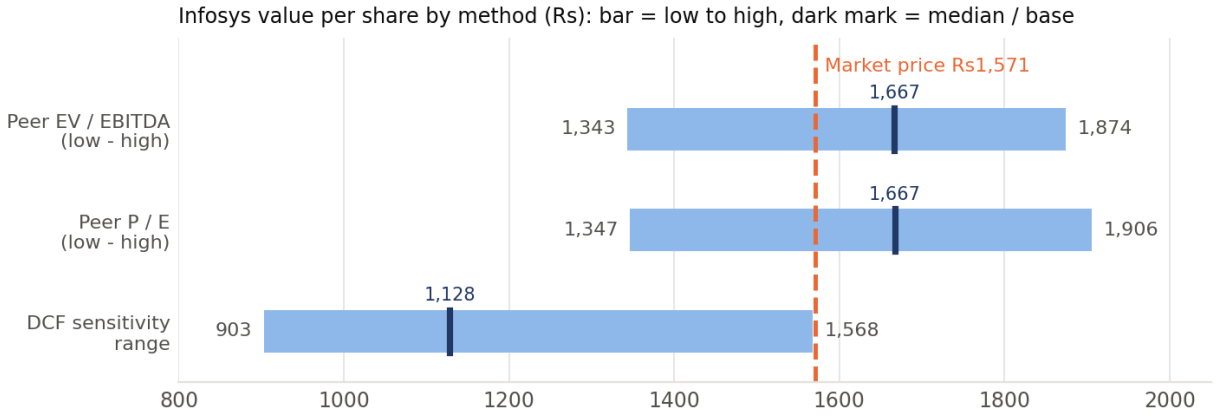
What the numbers say

- **Profitability.** Infosys has a higher EBITDA margin (24.1%) than the peer median (21.0%); only TCS (26.4%) is higher. This supports a multiple at least in line with the median.
- **Returns.** Infosys return on equity (27.9%) is above the peer median (20.5%), second to TCS.
- **Growth.** Revenue grew 6.1% against a peer median of 4.0%, but profit growth of 1.9% was below the median (14.9%). Slower earnings growth explains why Infosys trades at a small discount.
- **Balance sheet.** Infosys has no borrowings and net cash of 6.1% of its market cap. Wipro holds the most net cash (13.4%).
- **Cash conversion.** All five companies turn most of their profit into free cash flow; Infosys is the highest at 125%, helped by low capex and tax refunds.

4. Implied valuation of Infosys

Peer multiples (low, median, mean, high) are applied to Infosys's FY2025 EBITDA and EPS. For EV/EBITDA, the implied enterprise value is converted to equity value by adding Rs 47,996 crore of cash and investments and deducting lease liabilities (Rs 8,227 crore) and minority interest (Rs 385 crore), then divided by 415.2 crore diluted shares.

Method	Peer low	Peer median	Peer mean	Peer high
EV / EBITDA multiple	13.2x	16.6x	16.3x	18.8x
implied value per share (Rs)	**1,343**	**1,667**	**1,638**	**1,874**
P / E multiple	20.9x	25.8x	25.5x	29.5x
implied value per share (Rs)	**1,347**	**1,667**	**1,647**	**1,906**



How to use this

- The comps range for Infosys is about Rs 1,343 to Rs 1,906, with medians near Rs 1,667. The market price (Rs 1,571) lies inside this range, below the medians.
- The DCF base case (Rs 1,128) is lower, but its sensitivity range (Rs 903 to Rs 1,568) reaches the market price only under the most favourable assumptions. The two methods answer different questions: comps show what investors pay for similar companies today; the DCF shows what Infosys's own cash flows support on cautious assumptions.
- A reasonable summary is that Infosys looks fairly valued relative to peers and expensive relative to a conservative DCF.

5. Method, sources and limitations

Method

- Market capitalisation = NSE closing price on 28 March 2025 x shares (share capital / face value).
- Enterprise value = market cap + borrowings + lease liabilities + minority interest - cash, bank balances and investments. Lease liabilities are included because EBITDA is after Ind AS 116.
- EBITDA excludes other income, which is earned on the cash deducted in enterprise value. P/E = price / reported basic EPS.
- Peer statistics exclude Infosys. All figures are converted to Rs crore (Wipro and Tech Mahindra report in Rs million).

Sources

- Consolidated financial statements in the annual reports of Infosys, TCS, Wipro and Tech Mahindra for FY2024-25, and the HCLTech annual report for the year ended 31 March 2026 (31-Mar-2025 comparatives).
- Share prices: Yahoo Finance daily NSE closes for 28 March 2025, cross-checked to figures in the Wipro and TCS annual reports.
- DCF value and sensitivity range: Infosys DCF valuation (base date 31 March 2025).

Limitations

- Trailing FY2025 multiples only; no consensus forward estimates were used.
- Four peers is a small sample; the median moves materially with any one company.
- Share counts ignore treasury shares. Tech Mahindra's FY2025 earnings were still recovering, inflating its P/E. HCLTech's figures are comparatives taken from its FY2026 report and may be presented on a restated basis.
- The Infosys price used here (NSE close Rs 1,570.65) differs by 0.2% from the price used in the DCF (Rs 1,573.4, derived from reported market capitalisation).